

sible to work with local brokers. The local broker is simply closer to the company, so we think we get better information on a more timely basis. Also, we are important to that broker. If we relied on Merrill Lynch's research on a European company, for example, we would expect Merrill to call Fidelity or T. Rowe Price or some other more important client before it called us with an interesting bit of news.

It's Tough on Your Own

You, as an individual investor, can't build a network of brokers around the globe. You'd have to rely on Merrill Lynch.

It's getting easier to be a direct investor overseas, as U.S. brokerage firms build expertise and enter into alliances with overseas brokers, but there are still many difficulties in tracking companies, assessing economies, worrying about currencies, and dealing with local regulations, accounting differences, and indifference to stock manipulations. Individual investors couldn't replicate a mutual fund's portfolio for custodial reasons alone: you couldn't find a U.S. broker that would hold some of the stocks that funds own. Any seasoned international investor can recite a bundle of horror stories and tell you how long it took him or her to learn the ropes.

But the chief argument for relying on mutual funds is that professionals traversing the globe to develop corporate and analyst relationships are able to dig up investments that a private investor couldn't hope to find. Acorn has owned a casino operator in Malaysia, a newspaper in the Netherlands, a ceramic tile maker in Mexico, a cable TV operator in Switzerland, a multiplex movie theater owner in Australia, a temporary-help company in France, a discount retailer in Japan, a window frame manufacturer in Germany, a bicycle maker in China, a cruise line in Italy, a cellular phone company in England, and an investment trust that invests in Brazil.